

National Insurance and indirect taxes

In the UK, government pension schemes are funded by National Insurance contributions. Revenue is also collected through charges on products as VAT, duties on certain items, and other indirect taxes.

Revenue from National Insurance

Money the government receives in National Insurance (NI) contributions is used exclusively for paying out state pensions. Essentially, this year's NI revenue pays for this year's pension requirements. NI contributions go directly into a dedicated fund and are kept separate from any other tax revenue. Unlike some other nations, such as the USA, United Arab Emirates, and Norway, the UK does not have a sovereign wealth fund, which is a state-owned investment fund that can be used for pensions, amongst other things. This means that the UK government does not buy shares or invest money on behalf of the nation. For example, the government could have invested earnings from tax on North Sea oil during the 1970s and 1980s, buying government bonds and substantially increasing its fund. However, this money was instead used to fund tax cuts and public spending, and the UK's current budget deficit makes it unlikely that a sovereign wealth fund could be established now.

Although there is no sovereign wealth fund, the UK government does invest NI contributions in its Call Notice Deposit Account, which is managed by the Debt Management Office. The money is placed in an overnight account and held on loan to earn interest at the going rate. The amount in the account is adjusted day by day so that the government can take funds out when they are needed for pension payments. There are no restrictions on withdrawals of the funds, and as a consequence, the interest that is earned is low, contributing only a small additional amount to the NI fund.

Since the 1990s, the NI pool has been in surplus – that is, more money has been coming in from NI payments than going out in the form of pension

payments. However, the surplus has begun to dwindle because there has been a fall in earnings growth. The financial crisis of 2007–2008 triggered a decline in real wages of more than 10 per cent in the nine years up to 2016. Figures for “real” wages are adjusted for inflation so that they accurately measure spending power – the amount of goods and services that can be bought with an average monthly pay packet. Until real wages begin to recover, the NI surplus will continue to diminish, as employers and workers are paying in less money. Some government predictions forecast that if this trend persists, the fund will be exhausted by 2035–36. Partly in response to this challenge, the government introduced a New State Pension in 2016 and is now gradually increasing the age of retirement. For anyone retiring after 2021 there will be a flat rate of pension between £145 and £155 per week. To be eligible, the pensioner must have paid NI contributions for 35 years. Rises in the state pension are calculated according to a “triple lock”, with the payment rising by the same rate as inflation, average earnings, or 2.5 per cent, whichever is the highest.

VAT

Value Added Tax (VAT) makes up around 18 per cent of government revenue, vying with National Insurance contributions as the second largest component after income tax. VAT is paid on all sales in the UK. It is the responsibility of vendors to pay VAT they have received to the government, minus any VAT they have paid. Businesses must register for VAT if turnover is more than £83,000 in a 12-month period.

The standard rate of VAT is 20 per cent, which is added to the majority of goods and services. This rate has been in place since January 2011, increased from